



**UNIVERSITÉ  
DE GENÈVE**

GENEVA SCHOOL OF ECONOMICS  
AND MANAGEMENT

**Company:** Kuehne+Nagel

**Course:** Sustainability Accounting and Reporting

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## 1. Introduction

Kuehne+Nagel is a global logistics company that offers highly specialized value chain solutions to more than 400,000 customers worldwide through its Sea, Air, Road and Contract Logistics business units. The company operates in 94 countries and is certified as a "Great Place to Work" in 53 of them. It currently holds a market leading position, having been recognised as one of the world's largest sea and air freight forwarders based on volumes -with a turnover of more than 23,000 million CHF in 2023- and as one of the most visionary leaders in Gartner's Magic Quadrant for Third Party Logistics.

Apart from delivering logistics and transportation services, Kuehne+Nagel has a strong focus on driving sustainability initiatives. Therefore, the purpose of this report is to showcase, analyze and evaluate how the company communicates and reports on these initiatives.

### 1.1. Company structure

The Kuehne+Nagel Group operates as a publicly traded company with a two-tier management system consisting of a Board of Directors, headed by Dr. Joerg Wolle as Chairman, and a Management Board, headed by Mr. Stefan Paul as CEO. Their ultimate holding company is Kuehne+Nagel International AG, registered in Switzerland.

### 1.2. Company strategy and purpose

The international logistics industry has been greatly affected by the global economic slowdown and geopolitical tensions in recent years, leading to declines in world trade volume growth, reductions in freight rates, and unexpected surges in inflation. In response to this complex environment, the company launched its four-year strategic course, Roadmap 2026, with the highly ambitious purpose of becoming the most trusted supply chain partner supporting a sustainable future. This strategy is composed of four main cornerstones focused on providing an excellent **experience** for employees and customers, supporting the industry's best logistics experts through a **digital ecosystem**, exploring **market potential** by expanding to new segments, and integrating people, planet and business through **Living ESG**.

## 2. Sustainability strategy

Kuehne+Nagel's sustainability strategy is embedded in the company's overall business strategy through their "Living ESG" framework, which is meant to integrate environmental, social, and governance practices across the goals and daily functions of all business units.

With this framework, the company seeks to achieve company-wide goals, such as transitioning to a zero carbon business model, driving a diversity and inclusion program, reinforcing its commitment to the UN Global Compact corporate responsibility initiative, and

aligning its actions with the Sustainable Development Goals and the Science Based Targets Initiative (SBTI).

## **2.1. Key performance indicators (KPIs)**

The following KPIs were found on Kuehne+Nagel's 2023 Sustainability Report. However, it is important to note that the company does not provide a clear listing of these KPIs. Instead, it mentions progress in the areas found below along with other achievements and intentions for improvement, making yearly progress comparisons difficult. Furthermore, the company has not established KPIs for the Governance dimension of their Living ESG strategy.

### **Environment:**

- Absolute emissions: Decreased by 11% to 14,422 million tonnes
- Share of hybrid and electric company cars: Increased from 17% to 32%
- Share of electric trucks: Increased to 1.5%
- On-site electricity production using photovoltaics: Increased by 5%

### **Social**

- Percentage of employees who completed training on the Code of Conduct: 96%
- Number of managers who completed training on anti-bribery and corruption: 7,000
- Number of fatalities: 0

## **2.2. Materiality analysis**

Kuehne+Nagel uses a double-materiality approach, identifying topics that are significant to both the company and its stakeholders.

As seen in Annex 1, the most material topics for the environmental dimension are related to energy consumption, greenhouse gas emissions and climate change. In terms of social topics, employee safety and satisfaction, customer relations, supplier retention, and human rights rank high in the matrix. Finally, the company considers business integrity, data privacy, sustainable supply chain, responsible communication, and business resilience to be relevant both for its performance and for its stakeholders.

These material topics align with the most relevant trends and challenges that the global logistics industry currently faces, especially in terms of resilience to climate change to mitigate physical risks and financial losses, alternative energy and transportation solutions to reduce greenhouse gas emissions in a highly polluting industry, employee safety, retention, and development due to the shortage of skilled labor, and customer data privacy (World Economic Forum, 2024), (BDO, 2023), (Socialsuite, n.d.).

However, the company fails to identify migration to automation, artificial intelligence and e-commerce solutions as a material topic, which would be relevant to address the inefficient

capacity utilization and the need for value-chain and route optimization currently faced by the industry. Furthermore, the company focuses on business resilience related to climate change and disaster response, but could further explore resilience related to geopolitical instability as a separate material topic. Finally, even though the company identifies employee retention and satisfaction, it could consider adding recruitment as another material topic, given industry gaps and difficulties in hiring skilled labor (World Economic Forum, 2024), (BDO, 2023).

### **2.3. Stakeholder communication and engagement**

Kuehne+Nagel states that responsible communication with stakeholders is a key part of their strategy. In turn, the company has adequately identified their main internal and external stakeholders' interests, ways to engage with them, and company response (Annex 2). As a baseline, the company developed and socialized its Corporate Communication Guideline to communicate effectively with stakeholders, along with specific guidelines on insider trading and crisis communications. Furthermore, Kuehne+Nagel uses diverse in-person and online channels to target messages to their specific stakeholder groups.

Among all stakeholders, the company gives special weight to their employees and customers, as they are central to the first cornerstone of their Roadmap 2026. Regarding employee engagement, the company has developed an Intranet accessible to all employees to enable the distribution of information and the retrieval of feedback. Additionally, the company has introduced Voice of the Employee surveys to obtain information on employee engagement and satisfaction.

However, in terms of customer satisfaction, the company does not delve into specific projects aimed at engaging with their customers, rather listing surveys, customer meetings and joint projects as their actions. Given the importance of customer relations and customer data privacy in the materiality analysis, it would be advisable for the company to detail particular initiatives to periodically capture customer needs and feedback, as well as measurable actions to address and follow up on these interactions.

## **3. Sustainability: Climate Strategy**

### **3.1. Climate strategy overview**

As part of its commitment to sustainability, Kuehne+Nagel incorporates eco-friendly procedures into every aspect of its business operations. By making investments in sustainable aviation fuels (SAF) and marine biofuels, Kuehne+Nagel hopes to lower Scope 3 emissions. All of Kuehne+Nagel's contract logistics warehouses used 100% renewable energy in 2022. A crucial element of their approach is the Environmental Management System (EMS), which controls environmental effects like waste management, water use, and energy use at the site level. The EMS aligns with ISO 14001 certification standards and, in 2023, the number of ISO 14001 certified sites increased by 24%, with 429 sites now certified.

### 3.2. Announced ambitions and goals with timelines

1. **Carbon Neutrality:** Aim to be carbon neutral by 2030.
2. **CO2 Emissions Reduction:** Target to reduce absolute Scope 1, 2, and 3 GHG emissions by 33% by 2030, with 2019 as the base year (validated by the Science Based Targets initiative - SBTi) (Science Based Targets Initiative, n.d).
3. **Renewable Energy:** 100% renewable energy at all sites by 2030.
4. **Low Emission Vehicles:** 60% of the company's truck fleet to be low emission vehicles by 2030.
5. **Onsite Renewable Electricity:** 30% onsite renewable electricity production in contract logistics by 2030, with an interim target of 25% by 2024.
6. **Net-Zero Ambition:** Long-term goal to achieve net-zero emissions by 2050 (commitment not yet validated by SBTi).

### 3.3. Definition and clarity of ambitions

Kuehne+Nagel's ambitions are clearly defined, with a focus on becoming carbon neutral by 2030 and achieving net-zero emissions by 2050. These goals are supported by specific targets, such as reducing GHG emissions by 33% by 2030 and transitioning to 100% renewable energy. The inclusion of Sarah Kreienbuehl as Chief Human Resource Officer (CHRO), ESG and QSHE, with her extensive experience in sustainability, on the Executive Committee, underscores Kuehne+Nagel's commitment to integrating sustainability into its core business strategy (Kuehne+Nagel, n.d.).

### 3.4. Roadmap to achieve these ambitions

To achieve the ambitions in Kuehne+Nagel's Vision 2030 (as already mentioned in section 1.2), Roadmap 2026 is going to play a pivotal role. The plan includes continued investments in renewable energy sources and technologies, increasing the proportion of low emission vehicles in the company's fleet, and implementing sustainable practices in logistics and warehousing, such as energy-efficient lighting and smart meters.

Progress towards these goals is tracked through various measures. In 2023, the company reduced overall energy consumption by 9% compared to 2022, and by 12% compared to the 2019 baseline. The target to reduce GHG emissions and its validation by the Science Based Targets initiative (SBTi), ensures that their targets are in line with the latest climate science.

Furthermore, they have introduced "Book and Claim" in its supply chain. The "Book and Claim" process is a method that allows Kuehne+Nagel and its customers to benefit from low-carbon fuels without needing direct access to the fuel itself. Here's how it works: Kuehne+Nagel purchases biofuel, which is then used in a truck, plane, or ship anywhere in the world. The CO<sub>2</sub>e (carbon dioxide equivalent) savings from using this biofuel can be passed on to a customer, who can then claim the environmental benefits. This system is

particularly useful in sea and air logistics, where Kuehne+Nagel doesn't own the fleets. Instead, they work with trusted suppliers who use the fuel on their behalf, ensuring the environmental benefits are real and verifiable through reliable data and a robust, audited methodology. In 2022, Kuehne+Nagel developed a leading certification program for sustainable aviation fuel (SAF), and in 2023, they extended their book and claim services to road logistics for the purchase of hydrotreated vegetable oil (HVO) in Europe. By 2024, this service will be available to third-party carriers and other regions, including electric vehicles, making Kuehne+Nagel the first freight forwarder to offer this to customers. This process helps accelerate the transition to low-carbon logistics by making it easier for companies to benefit from using sustainable fuels.

### 3.5. Progress tracking and feasibility of goals

Kuehne+Nagel's EMS is part of the Integrated Management System (IMS) and aligns with ISO 14001 certification standards.

The EMS includes environmental profile and impact analyses, assessing risks qualitatively and quantitatively. Factors considered include harm to people, flora, fauna, emissions, and resource usage. The asset impact register is periodically reviewed and updated, especially when new equipment or processes are introduced.

All employees are encouraged to adhere to the environmental policy and EMS requirements. Training needs are identified for tasks with potential environmental impacts, and a team of Continuous Improvement Experts and Environmental Champions supports the implementation of environmental initiatives across all sites.

Kuehne+Nagel conducts internal audits of its EMS and facilities based on risk considerations and customer requirements. Findings are documented and communicated to management. The Global Facility Carbon Calculator (GFCC) tracks environmental KPIs monthly. In 2023, the tool was upgraded and globally rolled out, improving data availability and accuracy. Smart meters were installed at 25% of sites in 2023, with a rollout to 50% of sites planned for 2024, enabling real-time monitoring of electricity, gas, and water consumption.

By integrating these comprehensive measures, Kuehne+Nagel ensures effective environmental management and continuous improvement towards its sustainability goals.

**Figure 1. Analysis of progression toward achieving net-zero carbon emissions for the U.K.**  
(Source Carbon Reduction Plan FY23, P.2)

| tCO <sub>2</sub> e    | Scope 1 | Scope 2 | Scope 3 | Total   |
|-----------------------|---------|---------|---------|---------|
| <b>Base Year 2019</b> | 69298   | 10038   | 1082081 | 1161417 |
| <b>Year 2022</b>      | 8737    | 613     | 809589  | 818940  |

|                                       |        |        |        |        |
|---------------------------------------|--------|--------|--------|--------|
| <b>Emission compared to base year</b> | 12.61% | 6.11%  | 74.2%  | 70.51% |
| <b>Reduction</b>                      | 87.39% | 93.89% | 25.18% | 29.49% |

According to their carbon reduction plan published on December 19, 2023, for the UK, we analyzed that by 2022, which is three years after the base year, the total reduction was approximately 29%. They now face a 4% reduction challenge for the next four years, which seems relatively easy to achieve. This raises questions about whether they intentionally set an easily achievable target, made drastic changes over time, or were initially emitting so much carbon that a 29% reduction over three years was not a significant challenge. However, for the whole group the emission has increased from 14.421 million tonnes to 16.191 million tonnes in 2023 which is 11% increase.

#### **4. Governance and sustainability**

##### **4.1. Incorporating the sustainability agenda into the company's overall governance**

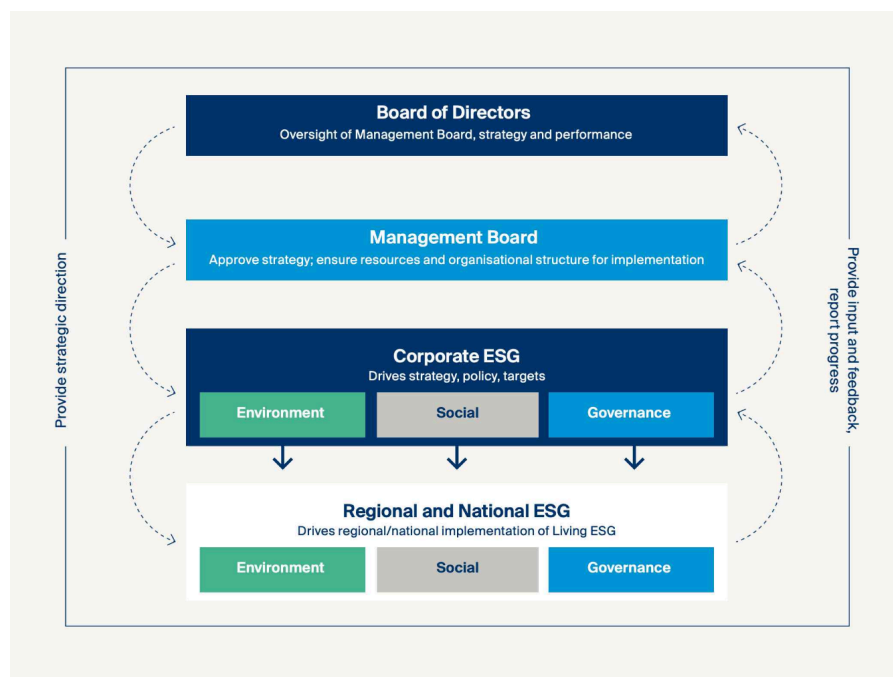
When it comes to Kuehne+Nagel's overall governance structure, it can be observed that the company has made efforts to include the sustainability angle within it, by highlighting the two main aspects which are linked to sustainability that the company wants to integrate within its governance and overall strategy. These two aspects are: (1) the Living ESG initiative and (2) Roadmap 2026. Plus, according to the company's 2023 Sustainability Report, it can also be seen that the company is trying to be in alignment with the latest ESG requirements and trends, because they chose to "re-adjust" their materiality matrix in order to help them better "reflect" on "the Group's impact on sustainability matters more accurately" (2023 Sustainability Report, P. 10).

Nonetheless, from a critical angle, as already mentioned in the introduction section where the company's choice of main KPI's is described (section 2.1), Kuehne+Nagel has decided not to choose specific governance related KPIs, when it comes to the Living ESG strategy. Yet, in terms of future ambitions and the 2026 Roadmap (as already mentioned in section 3.2), the company declared its goal of wanting to reach net-zero emissions by 2050, and this choice, they seem to argue, is strengthened by the fact that they selected Ms. Kreienbuehl for the position of CHRO (Kuehne+Nagel, n.d.). Ms. Kreienbuehl therefore also joined the company's Executive Committee, and appears to have had prior sustainability related work experience. Therefore, it can be assumed that this is a choice that was made by the company to help underline and demonstrate to shareholders the company's strong devotion to making sure that sustainability practices are incorporated within Kuehne+Nagel's overall business strategy, by having one single experienced high-level employee in their governance structure.

##### **4.2. The company's governance structure**

According to the company’s 2023 Sustainability Report (P. 10-11), and as visually described in Figure 2, it can be observed that the company is governed by a Board of Directors and a Management Board, which is the equivalent of an Executive Committee. They call their governance structure “a two-tier management system,” and argue that the Management Board is responsible for approving the company’s “ESG strategy” and also for monitoring its “performance” (2023 Sustainability Report, P. 11).

**Figure 2. Kuehne+Nagel’s ESG coordination and alignment structure** (Source: 2023 Sustainability Report, P. 11)



Further, the same report also provides a very short and clear description of who is responsible for implementing and monitoring the company’s corporate ESG strategy, policy and targets, by stating the following:

“Since April 2023, and in line with the integration of Living ESG as a cornerstone of Kuehne+Nagel’s Roadmap 2026, our Chief Human Resource Officer (CHRO) has also been responsible for ESG and QSHE at Management Board level. The Global Head of Sustainability and the corporate sustainability team report to the CHRO. They are charged with cross-business unit coordination, regional and national strategy alignment for Living ESG and performance monitoring and reporting” (2023 Sustainability Report, P. 10).

Furthermore, the latest sustainability report mentioned above, also argues that collaboration between the company’s “business” and “functional” departments is crucial to ensure the company’s continued and successful alignment with ESG requirements. In addition, they chose to create a working group which is called “Environment Working Group” whose main



task is to focus on achieving the company's "decarbonisation targets, strategy development and execution" (2023 Sustainability Report, P. 11).

When analyzing the governance structure of the company, it can be noticed that Kuehne+Nagel tends to mention the same person/employee, the CHRO, to be responsible for all human resources related tasks and all the sustainability related tasks, at the executive level. This seems to be an unrealistic undertaking, because just one person cannot work and give an equal importance to both segments of their work. Further, by mentioning over and over the CHRO's work responsibility towards sustainability tasks, they prove not to have enough employees who are experienced and also precisely tasked to work on the ESG related topics, otherwise they would have mentioned them.

On the other hand, the company appears to have several teams and leads who are working on ESG topics, as further described:

"Kuehne+Nagel's corporate sustainability team and regional sustainability leads collaborate on an ongoing basis to facilitate the cascading of Living ESG throughout the organisation. Regional - and in some cases national - ESG sustainability managers drive execution, adapting to markets with high customer demand or specific regulatory requirements. Regional input is equally sought for leverage at corporate level. Quarterly meetings between the corporate team and the regional/national managers ensure close alignment. In 2023, coordination of ESG-related matters was strengthened by implementing the sustainability blueprint and establishing dotted-line reporting to the corporate team by the regional, national, and business unit sustainability managers" (2023 Sustainability Report, P. 11).

To conclude, the company needs to have more people placed in high level positions on the management board who can solely focus on ESG related responsibilities.

## **5. Sustainability: Climate Governance**

### **5.1. Board expertise on climate**

Based on the Kuehne+Nagel's Sustainability Report 2023, the company's board shows a high dedication to resolving and managing climate challenges by proper implementation of qualified sustainability expertise within its leadership abilities. It should be highlighted that the board's members are actively guiding the major sustainability objectives of Kuehne+Nagel, maintaining international standards, including the Paris Agreement and Science-Based Targets initiative (SBTi). Therefore, their collective expertise perfectly involves different directions, such as sustainable management, corporate governance, and the strategic launching of low-carbon projects for making the business follow more decarbonization achievements in the fields of logistics and supply chain management.

The board applies some specific knowledge for better evaluation of possible risks and opportunities in dealing with climate change issues, turning them into integral business solutions. It is greatly observed in its several projects, especially the ones which are related to the transition to sustainable fuels and alternative sources of energy, contributing to a 33% reduction in greenhouse gas emissions, starting from 2019 (Sustainability Report, 2023). Further, the board has improved and strengthened the company's decision-making abilities by getting more professional partnerships with climate science organizations and being related to various governmental frameworks.

One of the highlights of Kuehne+Nagel's characteristics is its transparency in promoting climate ambitions by publishing comprehensive reports with free access by anyone who is interested in the company's activities. According to its Sustainability Report 2023, the company has already achieved a zero-carbon outcome by demonstrating different performance indicators, such as a reduction in greenhouse gas emissions, the number of realized sustainable projects, and sustainable integration facilities. It should be emphasized that the report has indicated a high level of adherence to global standards, such as GRI, SASB, and SNTi, promoting that Kuehne+Nagel would like to be credible in terms of its environmental strategies and aims. For instance, the organization has got sufficient climate objectives, such as the application of renewable sources of energy and use of sustainable fuels, which was supported by clear schedules and action plans. This is an illustration of how the company shows its pathway for achieving a zero-carbon footprint. The report also mentioned collaborations with industry leaders and environmental organizations.

Step by step, the report has pointed out some problems and obstacles in decarbonizing logistical stages. For this purpose, various figures, infographics, inquiries, and case studies were used for making complex data understandable for a wide audience, including not only potential investors, but the general public as well. Further, the company's partnership with Swiss Climate AG underlines Kuehne+Nagel's potential to follow a sustainable direction.

## **5.2. Climate in compensation schemes**

Based on the outcomes of the report, Kuehne+Nagel is strongly committed to maintaining and encouraging sustainability into its corporate governance strategies by blending climate objectives with compensation approaches for top management. This means that the company applies financial incentives to reward overall environmental attitudes, boosting executives to make priorities towards the climate performance metrics within their scope of duties and responsibilities. For example, key performance indicators are linked to the greenhouse gas reduction targets, adaptation of sustainable fuels, and other energy efficiency goals, which are included into annual performance reviews. By considering sustainability initiatives as a key aspect in executive rewards, the company optimizes its interest in improving a global ecological situation.

Regarding the consistency of objectives with the overall goals of Kuehne+Nagel, it is necessary to indicate that these objectives reflect a business strategy aimed at making sustainability policies the core priority, without having negative effects on the current operational activities and its following efficiency. The company has still to reach climate targets related to the transition to alternative energy and launching innovations in energy-related technologies, to boost its effectiveness in supply chain resilience, logistics opportunities, and cost efficiency. These approaches would help Kuehne+Nagel to decrease its carbon footprint and improve its professional reputation as a leader in the offering of environmentally responsible alternatives, as these types of solutions are highly appreciated by international consumers and potential partners.

Through its efforts, specified in the Sustainability Report 2023, Kuehne+Nagel has tried to focus on pressing ecological questions and remind their stakeholders that any modern multinational corporation should develop its own corporate policies with a sustainable lens.

## **6. Sustainability: Reporting**

### **6.1. Overall sustainability reporting**

Apart from the latest 2023 Sustainability Report, the company disclosed a total of 8 sustainability reports since 2016. This section will focus on a comparative analysis of the 2022 and 2023 sustainability reports. In the 2022 report, Kuehne+Nagel announced that it would follow the TCFD recommendations from 2023, mainly emphasizing the end of its five-year Roadmap 2022 strategy and the transition to Roadmap 2026 and Vision 2030. Materiality assessments were conducted every two years, most recently in 2021, with a focus on aligning with external frameworks such as the Science-Based Targets Initiative (SBTi).

In the 2023 Sustainability Report, Kuehne+Nagel implemented a comprehensive TCFD report, including a scenario analysis and physical and transition risk assessments. The report integrated a dual materiality approach, reflecting a more comprehensive analysis of internal and external ESG impacts. This shift is in line with the updated reporting requirements and reflects a higher level of stakeholder engagement.

### **6.2. Use of Global Reporting Initiative (GRI) standards**

#### **About the use of GRI:**

In 2023, the company combined GRI standards with the identification and ranking of material topics, which can be seen in the updated materiality matrix. This double materiality structure addresses both the external impact of operations and the execution impact of these topics in internal business.

#### **Scope and version of GRI standards:**

The report discloses information through GRI standards. Kuehne+Nagel clearly stated in the report that they use GRI 2021, which is the latest standard version. In addition, the report clearly mentions that the disclosure of its ESG strategy and data is consistent with the GRI framework, combined with the analysis framework of Double Materiality.

**Core or comprehensive standards:**

Based on the content of the report, Kuehne+Nagel uses comprehensive standards for evaluation. For example, Business integrity as a material topic appears in three different reports: GRI205, GRI206, and GRI207.

**Existence of GRI Index:**

The company discloses in the form of an index report, which has a total of 6 pages. According to the report catalog, a detailed GRI index is provided to help stakeholders locate relevant GRI disclosure content.

**Disclosure completeness and omitted information:**

According to the latest version of GRI2021, "companies are obliged to report on all material topics or provide a reason for omission". From the analysis of this report, we can see that the company responded to most of the GRI requirements without separately stating the reasons for non-disclosure of information, such as "reasons for non-disclosure" or "planned improvement measures". If specific indicators are not covered, these omissions should have been noted in the GRI Index.

**Data verification and third-party assurance:**

Kuehne+Nagel's 2023 report has been verified by an independent third party to ensure the accuracy and reliability of its disclosed data.

**Existence of an assurance report:**

The report contains an independent assurance statement, which focuses on verifying the key ESG data and indicators disclosed. This is the third consecutive year that Kuehne+Nagel has obtained external assurance for key non-financial data in the report. Swiss Climate conducted the verification according to the "AA1000AS v3 standard, type 2, moderate-level assurance". The scope of assurance includes the definition of organizational system boundaries, carbon footprint methodology, and traceability and credibility of data quality.

**Definition of scope and boundaries:**

The verification covers Scope 1 (such as owned fleet), Scope 2 (location and market basis) and several categories of Scope 3 (such as upstream transportation, business travel and employee commuting). The data involved includes integration from 893 sites (the total number of sites is 1024).

## **7. Sustainability: Climate Reporting**

## **7.1. TCFD**

**2022:** Kuehne+Nagel announced its intent to follow TCFD recommendations starting in 2023.

**2023:** Kuehne+Nagel does not have a separate TCFD report, but based on their disclosure in the 2023 sustainability report, we can see that they have continued the disclosure framework in the previous sustainability report, and only mentioned that they will conduct further in-depth analysis on the TCFD framework, but no specific matters were seen (except the ESG Governance, which is what they continued in the few past years).

The company's sustainability report is disclosed in accordance with the ESG concept. The GHG section appears in the environment section. They have classified and defined Sc1, Sc2 and Sc3 and provided corresponding data information, but it found that the data information is too general to be used for comparative calculations.

## **7.2. GHG emissions of Scope 1, 2 and 3**

Although the proportion of Scope 3 emissions has slightly decreased from 98.4% in 2022 to 98.2% in 2023, this shows that the company's emissions are mainly driven by activities upstream and downstream of its value chain, rather than direct operations (Scope 1) or indirect energy use (Scope 2).

This further shows that companies need to prioritize emission management in the value chain, including suppliers, logistics, product use and waste treatment.

## **7.3. Comparison of Scope 1, 2 and 3 in 2022 and 2023**

### **Scope 1 and 2:**

**2022:** A 22% increase in Scope 1 emissions, attributed to resumed activity post-pandemic. Renewable energy covered 99% of all facilities.

**2023:** Continued investments in renewable energy and electrification of vehicle fleets. Reduction trajectory aligns with SBTi goals.

### **Scope 3:**

**2022:** Accounted for 98% of total emissions, primarily from logistics. Methodological updates improved reporting accuracy.

**2023:** Further expanded reporting on upstream and downstream activities, integrating additional suppliers and refining methodologies.

## **8. Conclusion**

To conclude, while Kuehne+Nagel has made improvements in their sustainability reporting over the past two years, this analysis shows that the company's ambitious purpose of

“becoming the most trusted supply chain partner supporting a sustainable future” is going to be challenging to achieve at the current rate. Thus, the following evaluation and recommendations are provided.

Even though the company adequately identified material topics that are aligned with the main issues faced by the international logistics industry, the company could further include topics that cover crucial industry trends, such as migration to solutions that incorporate artificial intelligence and automation, business resilience to geopolitical instability, and recruitment of skilled labor. Furthermore, the most important material topics were identified in the environmental and social dimensions, as well as in specific aspects of business strategy. However, the report focused on communicating mainly on the environmental aspects related to the company’s progress and initiatives toward the ultimate goal of net-zero emissions, which they seek to accomplish through compliance with environmental frameworks.

As explained in this report, the company seems to be making efforts towards adapting their governance structure to the sustainability agenda and their governance structure is clearly explained, but more needs to be done. For example, the company should consider appointing another person at the management board level who can solely focus on ESG related responsibilities and not attach this responsibility to someone who is already working on an important division of the company, such as they currently do by attaching this responsibility to Ms. Kreienbuehl, the CHRO. It is also to be noted that the current CHRO, who is as mentioned also responsible for ESG matters, is not using the title of a Chief Sustainability Officer (CSO). There is one person whose title is Global Head of Sustainability, but they are not in the executive committee. Therefore, a clear CSO position should be established.

Kuehne+Nagel outlined a comprehensive climate strategy with clear ambitions and goals. While the ambitions of Kuehne+ Nagel are precisely defined and the timing for these goals has been announced, the roadmap to achieve these targets lacks sufficient justification. Despite a detailed plan, the company's current progress indicates challenges in meeting these ambitions. Notably, instead of reducing emissions, there has been an 11% increase, which puts the company off track from its 2030 target. Given the current approach and its result, it appears difficult for Kuehne + Nagel to attain its ultimate goal of Net Zero by 2050. The company needs to reassess and strengthen its strategies to ensure that its ambitious targets are not only achievable but also credible and scientifically validated. In summary, while the objectives are well-defined and partially approved by scientific standards, the current progress suggests that significant improvements are necessary to make the ultimate goal reachable.

Kuehne+Nagel's board demonstrates strong expertise in climate issues, guiding the company's sustainability goals and assessing related risks. The company emphasizes its climate ambitions in public communications, particularly through its comprehensive Sustainability Report 2023. Additionally, climate objectives are integrated into top

management's compensation, with financial incentives linked to performance on environmental goals, aligning with the company's overall sustainability strategy.

Although the company mentioned in 2022 and 2023 that they would continue to analyze their sustainability performance in depth under the TCFD framework, the company's latest sustainability report in 2023 did not categorize the TCFD framework requirements or indicate that they would prepare a separate climate report under the TCFD framework. This indicates that it may not have formed a systematic strategy in promoting climate-related information disclosure, may still be in the initial stage of applying the framework, or has not yet regarded this as a core priority. As a result, it may not be transparent enough in these key areas, and thus cannot fully demonstrate its strategy and progress in addressing climate change.

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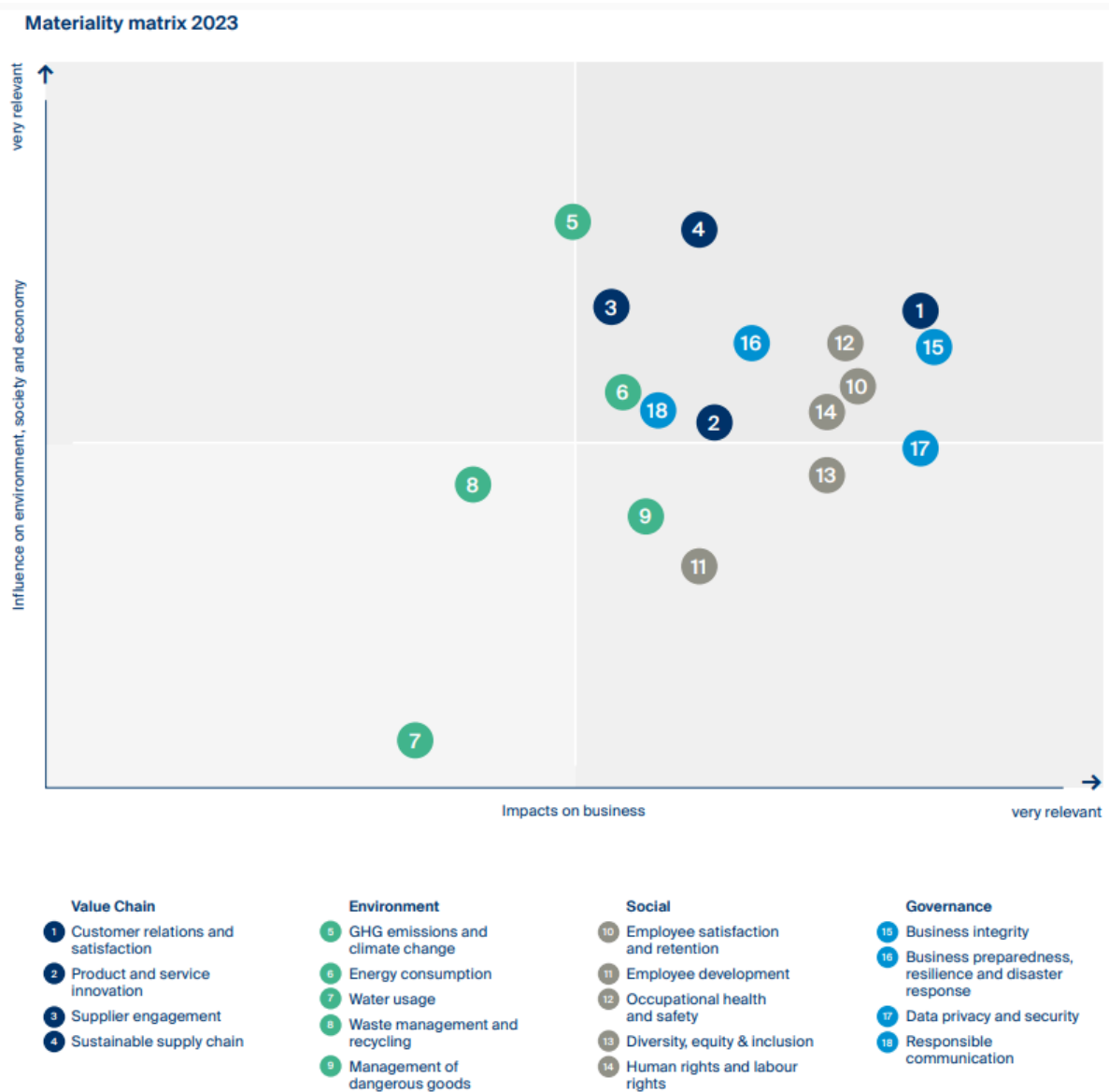
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## Annex 1: Kuehne+Nagel Materiality Matrix 2023



## Annex 2: Kuehne + Nagel Stakeholder Analysis

| Stakeholder groups                                                                                                                               | Key issues of interest                                                                                                                                                                                                                 | How we engage                                                                                                                                                                                                                                                          | How we respond                                                                                                                                                                                                                                               |
|--------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Employees</b><br>                                            | <ul style="list-style-type: none"> <li>■ Training and development</li> <li>■ Health and safety</li> <li>■ Compensation and benefits</li> <li>■ Diversity and inclusion</li> </ul>                                                      | <ul style="list-style-type: none"> <li>■ Employee surveys, including Great Place to Work survey</li> <li>■ Town hall meetings</li> <li>■ Internal communication (CEO messages, Intranet)</li> <li>■ Workers councils, health and safety committees</li> </ul>          | <ul style="list-style-type: none"> <li>■ Career development framework</li> <li>■ Learning management system</li> <li>■ Performance enablement process</li> <li>■ Safety and health management system</li> <li>■ Diversity and inclusion programme</li> </ul> |
| <b>Customers</b><br>                                            | <ul style="list-style-type: none"> <li>■ Sustainability service offering, emission reporting</li> <li>■ Customer service</li> <li>■ Data privacy and protection</li> <li>■ Quality, security and responsibility in delivery</li> </ul> | <ul style="list-style-type: none"> <li>■ Customer satisfaction survey and feedback tool</li> <li>■ Customer meetings and events</li> <li>■ Joint projects</li> </ul>                                                                                                   | <ul style="list-style-type: none"> <li>■ Emission consultancy</li> <li>■ Internal and external QSHE audits</li> <li>■ Information security</li> <li>■ ESG ratings</li> </ul>                                                                                 |
| <b>Investors</b><br>                                            | <ul style="list-style-type: none"> <li>■ Economic performance</li> <li>■ Responsible communication</li> <li>■ Transparent ESG performance and ethical governance</li> </ul>                                                            | <ul style="list-style-type: none"> <li>■ Annual General Meeting (AGM)</li> <li>■ Disclosure duties</li> <li>■ Capital Markets Day</li> <li>■ Management engagement</li> <li>■ Road shows, investor and analyst meetings</li> <li>■ Financial press releases</li> </ul> | <ul style="list-style-type: none"> <li>■ Integrity Due Diligence</li> <li>■ ESG ratings</li> <li>■ Reporting</li> </ul>                                                                                                                                      |
| <b>Suppliers and partners</b><br>                             | <ul style="list-style-type: none"> <li>■ Ethical and social standards</li> <li>■ Long-term partnership</li> <li>■ Fair payment terms</li> </ul>                                                                                        | <ul style="list-style-type: none"> <li>■ Business associations</li> <li>■ Partnerships</li> <li>■ Public forums and working groups</li> </ul>                                                                                                                          | <ul style="list-style-type: none"> <li>■ Audits and risk assessments</li> <li>■ Supplier Management System (SMT)</li> <li>■ Training</li> <li>■ Joint projects</li> </ul>                                                                                    |
| <b>Communities/ Non-governmental organisations (NGOs)</b><br> | <ul style="list-style-type: none"> <li>■ Ethical, social and environmental practices</li> <li>■ Community partnerships</li> </ul>                                                                                                      | <ul style="list-style-type: none"> <li>■ Community support initiatives</li> </ul>                                                                                                                                                                                      | <ul style="list-style-type: none"> <li>■ Human rights due diligence</li> <li>■ Emergency and Relief Logistics</li> <li>■ Community support initiatives</li> </ul>                                                                                            |
| <b>Governments/ Regulatory bodies</b><br>                     | <ul style="list-style-type: none"> <li>■ Regulatory compliance</li> </ul>                                                                                                                                                              | <ul style="list-style-type: none"> <li>■ Public forums and industry bodies</li> <li>■ Transparent dialogue with tax authorities</li> </ul>                                                                                                                             | <ul style="list-style-type: none"> <li>■ Financial and sustainability reporting</li> <li>■ External assurance and audits</li> </ul>                                                                                                                          |

### Annex 3: Kuehne + Nagel TCFD Description

#### Risk management

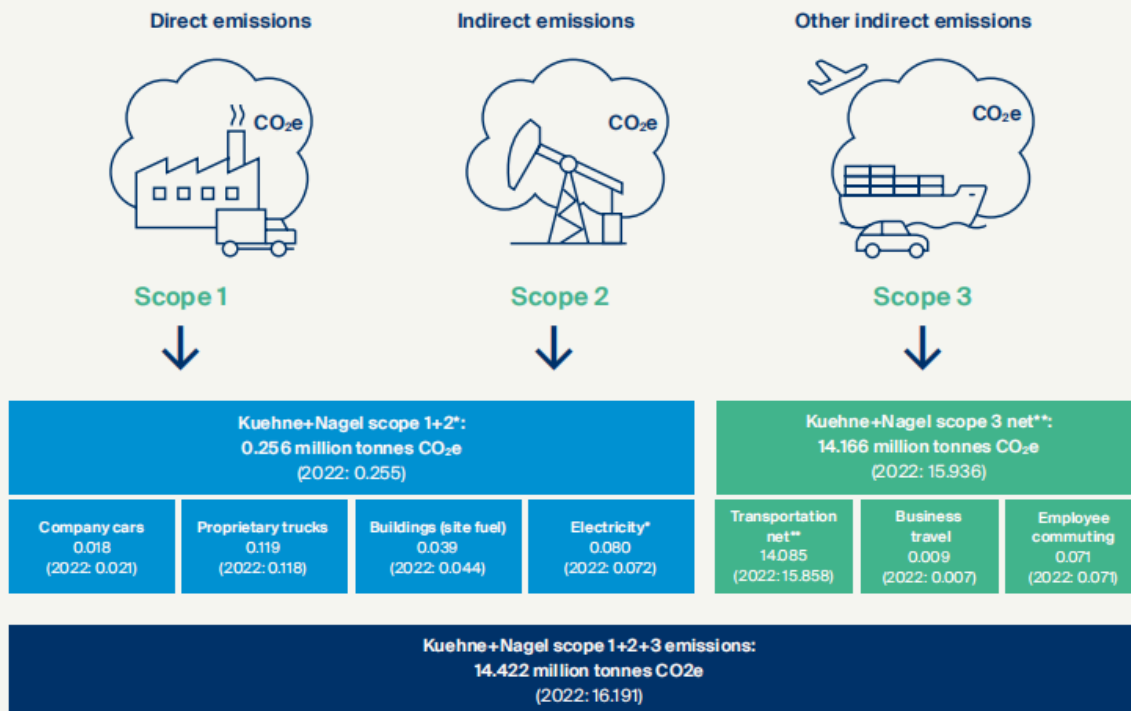
Risk management is a fundamental element of the Group's business practice. Embedded into business strategy, planning and controlling processes, it results from continuous dialogue between the Management Board, the Risk and Compliance Committee and the Audit Committee (more information about risk management can be found in the Annual Report 2023, p. 16).

Several sustainability and **climate-related** risks are considered in the risk assessment undertaken by the Management Board. They are integrated into the overall strategy

Being asset-light, **climate-related** transition risks such as legal and policy changes as well as changing market conditions, may have a more direct impact on our business than physical risks. As the concern for climate change and increasing regulatory requirements grow, we will conduct further in-depth assessments in line with the Task Force on **Climate-Related** Financial Disclosures (TCFD) recommendations. The evaluation will include **climate-related** risks and opportunities and their potential strategic and financial impact on our business.

## Annex 4: Kuehne + Nagel Scope 3 Emissions

**98.2% of Kuehne+Nagel's emissions are created in our value chain (scope 3)**



\* market-based scope 2 emissions

\*\* 'net' emissions consider the effect of sustainable fuel deployment in scope 3